

There have been ongoing disputes at various ports with regards to classification of wireless headphones and earphones as to whether they would be classified under Chapter 8518 or they can be classified under 8517 62 90 as wireless communication devices. There is an old WCO ruling also being followed as a 2000 circular by the board, which deals with single-piece wireless earphones, wherein the board classified that those products would be classified under 8517. Following the same logic, a lot of importers have been adopting the same classification for their wireless earphones and headphones because the rate of duty by virtue of exemption became nil or 10%.

Now, however, these entries for wireless earphones and headphones have been brought out specifically in 8518. It helps importers to the extent that at least now these entries have been particularly put under this particular heading.

Photovoltaic cells have had an increase in rate of duty. This is an interesting move since these parts are also part of India's commitment to WTO with regards to exempting these parts as part of ITA commitment. Whether it will be a violation of India's commitment will be a matter to be seen.

Various entries have been amended and substituted. It becomes important to look into these exemptions carefully and specifically. Further, vide Customs Notif 02/2022 (NT), major changes have been made in ICGR items (Customs 25/1999), thereby easing the procedure for availing end-use based duty exemption on capital goods.

In terms of the concessional rate on basic customs duty on capital goods that are used for manufacturing electronic items, a sunset date has been introduced for these since capital goods manufacturing and capacity building has been a big goal of the government. Considering

S.No.	CTH/Tariff item	Commodity	From	To
1	8518 21, 8518 22, 8518 29	Single or multiple loudspeakers, whether or not mounted in their enclosure (Effective BCD rate on these goods, other than hearable devices would continue to be '15%' vide Notification No. 12//2022-Customs dated 01.02.2022)	15%	20%
2	8518 30	Headphones and earphones, whether or not combined with a microphone, and sets consisting of a microphone and one or more loudspeakers (Effective BCD rate on these goods, other than hearable devices would continue to be '15%' vide Notification No. 12//2022-Customs dated 01.02.2022)	15%	20%
3	9028 30 10	Smart Meters (Effective BCD rate on these goods would continue to be '15%' till 31.03.2022 vide Notification No. 50//2017-Customs dated 30.06.2017)	15%	25%
4	9028 90 10	Smart Meters PCBA (Effective BCD rate on these goods would continue to be '15%' till 31.03.2022 vide Notification No. 50//2017-Customs dated 30.06.2017)	10%	20%
5	Any Chapter	Camera Lens for use in manufacture of camera module of cellular mobile phones	10/15%	2.5% (effective from 2.2.2022)
6	3208 90 49	Specified parts of transformers for use in manufacture of chargers/ adaptors		
	3919 90 90	Varnish, insulation tape, ferrite core, copper wires enameled, triple insulated winding wire	10/15%	5% (From 2.2.2022 till 31.03.2024)
	8504 90 10			
	8544 11 10			
	8544 49 99			
7	39, 74, 75, 76	Materials used in manufacture of PCBs, metal-clad PCBs a. Composite copper-clad materials consisting of paper + epoxy + glass cloth; b. Glass epoxy copper-clad laminates or paper phenolic copper-clad laminates; c. aluminium based copper-clad laminate; d. copper based copper-clad laminate	Tariff rate of the respective imported goods falling under Chapters mentioned above	Nil
8	8541 42 00	Photovoltaic cells N-T assembled in modules or made up into panels	20% (Tariff rate)	25% (effective from 2.2.2021)
9	8541 43 00	Photovoltaic cells assembled in modules or made up into panels	20% (Tariff rate)	40% (from 2.2.2022)
10	84, 85 or any chapter	Goods imported for providing public mobile radio trunked service by a person licensed by the Department of Telecommunications of the Government of India and parts required for manufacture of the said goods	Nil	Tariff rate (from 2.2.2022)
11	8518 30 00	Parts of line telephone handsets under Sl. No. 9 of NN 25/2005-CUS has been substituted (2.2.2022) with "Line telephone handsets" NOTE: Parts of line telephone handsets will attract the tariff rate	15% (tariff rate)	Nil

that, there is a phase-wise reduction in tariff now and by 31.03.2024 all these would be liable to tariff rate and duties and exemptions would be withdrawn. Businesses importing such goods need to be wary of this and make sure that all imports are

made before this date.

Similarly, in notifications on the import of raw materials for electronics manufacturing, multiple entries have been deleted, the objective being to take care of overlap and duplication of notifications. It is not that by dele-